

KPIs		
Description	Calculations	Definition
Sales and Earnings		
Sales Growth Rate ↑	$(\text{Current Period's Sales} - \text{Prior Period's Sales}) \div \text{Prior Period's Sales}$	The Growth Rate of Sales measures the amount of Sales growth from one Time Period to another Time Period expressed as a percentage.
Earnings Growth Rate* ↑	$(\text{Current Period's Net Income} - \text{Prior Period's Net Income}) \div \text{Prior Period's Net Income}$	The Growth Rate of Earnings measures the amount of Earnings growth from one Time Period to another Time Period expressed as a percentage.
Return on Sales (ROS)* ↑	$\text{Net Income} \div \text{Sales}$	Measures a business' Efficiency in generating Earnings from a given level of Sales.
Income Statement Expenses		
COGS Common Sized ↓	$\text{COGS} \div \text{Sales}$	Measures management's ability to control Inventory costs.
M&S Common Sized ↓	$\text{M\&S} \div \text{Sales}$	Measures management's ability to control Marketing and Sales Expenses.
G&A Common Sized ↓	$\text{G\&A} \div \text{Sales}$	Measures management's ability to control General Administrative Expenses.
MSGA Common Sized ↓	$\text{MSGA} \div \text{Sales}$	Measures management's ability to control Operating Expenses.
Assets (Balance Sheet, Total Payroll and No. of Employees)		
Total ENDING Asset Growth Rate	$(\text{Total Ending Assets} - \text{Total Beginning Assets}) \div \text{Total Beginning Assets}$	The Growth Rate of total Assets measures the amount of Asset growth from one Time Period to another Time Period expressed as a percentage.
Average Assets	$(\text{Beginning Assets} + \text{Ending Assets}) \div 2$	Averages beginning Assets for the Period with Ending Assets for the Period.
Average Net Fixed Assets	$(\text{Beginning Net Fixed Assets} + \text{Ending Net Fixed Assets}) \div 2$	Averages the beginning Net Fixed Assets for the Period with the ending Net Fixed Assets for the Period.
Capital Expenditures	$(\text{Ending Net Fixed Assets} + \text{Depreciation}) - \text{Beginning Net Fixed Assets}$	The amount spent to acquire Tangible Fixed Assets such as a building, vehicles, computers or machinery during the Time Period.
Asset Turnover ↑	$\text{Sales} \div \text{Ave. Assets}$	Measures Efficiency of Assets in producing Sales...marketing Effectiveness. For every dollar in Assets you generated this amount in Sales.
Fixed Asset Turnover ↑	$\text{Sales} \div \text{Average Net Fixed Assets}$	Measures how Effectively the Fixed Assets of the business are at producing Sales.
Payroll Turnover ↑	$\text{Sales} \div \text{Total Payroll}$	Measures Efficiency of Payroll in producing Sales...marketing Effectiveness. For every dollar in Payroll you generated this amount in Sales.
Turnover per Employee ↑	$\text{Sales} \div \text{No. of Employees}$	Measures Efficiency of Employees in producing Sales...marketing Effectiveness. For every Employee you generated this amount in Sales.
Return on Assets (ROA)* ↑	$\text{Net Income} \div \text{Average Assets}$	Measures Managements' Effectiveness and Efficiency of using Assets to produce Earnings.
Return on Employees * ↑	$\text{Net Income} \div \text{No. of Employees}$	Measures Efficiency of Employees to produce Earnings. Measures Managements' Effectiveness and Efficiency.
Return on Payroll * ↑	$\text{Net Income} \div \text{Total Payroll}$	Measures Efficiency of Payroll to produce Earnings. Measures Managements' Effectiveness and Efficiency.
Receivables		
Average Receivables ↓	$(\text{Beginning Rec} + \text{Ending Rec}) \div 2$	Averages Beginning Receivables for the Period with Ending Receivables for the Period.
Receivable Turnover ↑	$\text{Sales} \div \text{Average Receivables}$	Measures the number of times per Period the Average Receivable balance is collected.
Receivable Days (360=year 30=Month) ↓	$(\text{Average Receivables} \times \text{Days in Time Period}) \div \text{Sales}$	Measures the number of days the Average Receivable balance is outstanding.
Inventory		
Average Inventory ↓	$(\text{Beginning Inv} + \text{Ending Inventory}) \div 2$	Averages the beginning Inventory for the Period with the Ending Inventory for the Period.
Inventory Turnover ↑	$\text{COGS} \div \text{Average Inventory}$	Measures the number of times the Average Inventory balance was sold during the Period.
Inventory Days (360=year 30=Month) ↓	$(\text{Average Inventory} \times \text{Days in Time Period}) \div \text{COGS}$	Measures the number of days the Average Inventory was on hand.

Payables		
Average Payables	↑ $(\text{Beginning Payables} + \text{Ending Payables}) \div 2$	Averages beginning Payables for the Period with ending Payables for the Period.
Payable Days (360=year 30=Month)	↑ $(\text{Ave Payables} \div (\text{COGS} + \text{MSG} + \text{Payroll})) \times \text{Days in time Period}$	Measures the number of days the Average Payable balance is outstanding.
Equity and Financial Ratios		
Average Equity	↑ $(\text{Beginning Equity} + \text{Ending Equity}) \div 2$	Averages the beginning Equity for the Period with the ending Equity for the Period.
Financial Leverage	↑ $\text{Average Assets} \div \text{Average Equity}$	Measures the relationship between how much Equity and how much in Assets on the business' Balance Sheet.
Return on Equity (ROE)*	↑ $\text{Net Income} \div \text{Average Equity}$	Measures the productivity of Equity in producing Earnings.
Debt to Equity	↓ $\text{Total Debt} \div \text{Total Equity}$	Measures the mix of Debt vs. Shareholders in financing the business.
Quick Ratio	↑ $(\text{Cash} + \text{Accounts Receivable}) \div (\text{Accounts Payable} + \text{Other Current Liabilities})$	A conservative measure of a business' ability to cover its Current Liabilities from only Cash and A/R.
Current Ratio	↑ $\text{Total Current Assets} \div \text{Total Current Liabilities}$	Measures a business' ability to cover all short term obligations with existing short term resources.
Cash Flow		
Operating Cash Flow (OCF)	↑ See Cash Flow Worksheets	One of the three key measures of a business' overall performance. Measures Managements' Effectiveness and Efficiency.
Cash Flow Growth Rate	↑ $(\text{Ending Operating Cash Flow} - \text{Beginning Operating Cash Flow}) \div \text{Beginning Operating Cash Flow}$	The Growth Rate of Cash Flow measures the amount of Cash Flow from Operations growth from one Time Period to another Time Period expressed as a percentage.
Free Cash Flow (FCF)	↑ Operating Cash Flow - Investment Cash Flow	Free Cash Flow. Operating Cash Flow minus Fixed Asset Investment. Free Cash Flow is the amount of Cash the business generates from Operations minus the amount of Cash spent on Fixed Assets of the business. In an ideal world, Free Cash Flow is positive and represents the amount of Cash available for the shareholders to reinvest in the business, repay debt or distribute to shareholders (The Owners).
OCF Value from Sales	↑ $\text{Operating Cash Flow} \div \text{Sales}$	Measures Managements' Effectiveness and Efficiency at converting Sales into Cash Flow.
OCF Value of Earnings*	↑ $\text{Operating Cash Flow} \div \text{Net Income}$	Measures Managements' Effectiveness and Efficiency at converting Earnings into Cash Flow.
OCF Value of Assets	↑ $\text{Operating Cash Flow} \div \text{Average Assets}$	Measures management's Effectiveness and Efficiency in using Assets to produce Operating Cash Flow.
OCF Value from Employees	↑ $\text{Operating Cash Flow} \div \text{No. of Employees}$	Measures management's Effectiveness and Efficiency in using Number of Employees to produce Operating Cash Flow.
OCF Value of Payroll	↑ $\text{Operating Cash Flow} \div \text{Total Payroll}$	Measures management's Effectiveness and Efficiency in using Payroll to produce Operating Cash Flow.

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Key Strategies

- ✓ **Plug Profit Drains** (*Expenses*)
- ✓ **Increase Cash Flow** (*Balance Sheet: A/R, Inv, A/P*)
- ✓ **Increase Returns** (*Profit, OCF*)
- ✓ **Anticipate Crisis** (*Sales, Cash*)
- ✓ **Spot Danger Signals** (*Trends, Market/Environ.*)
- ✓ **Optimize Performance** (*Measure Results & Activities*)
- ✓ **Drive Results** (*Measure Critical Drivers*)

CFO 60 Day Plan:

The Big 6: Financial (Page 135)(Chapter 16 of TUB – Page 123)

- 1. Cash:** Balance, Sources & Burn
- 2. Accounting:** Accrual, 2 Sets & Ya-Ya
- 3. Profits:** 2 Reasons & Need v. Want
- 4. Profit Margin:** Dollars, Comm. Size & Per Unit
- 5. Revenue:** Sources & Trends
- 6. ROA:** Profit ÷ Assets & OCF ÷ Assets

CFO 60 Day Plan:

The Big 6: Risks (Page 136)(Chapter 16 of TUB – Page 131)

- 1. Concentration**
- 2. Sustainability: FSoE**
- 3. Business Model**
- 4. External: (Gasoline)**
- 5. Leverage**
- 6. Excess Capacity**